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Report Name: Oilseeds and Products Update

Country: Indonesia

Post: Jakarta

Report Category: Oilseeds and Products

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Report Highlights:

Indonesia palm oil production for 2023/24 is revised down slightly to 45.8 million metric tons (MMT) due to lower yields from El Nino-induced dryness. Soybean consumption for 2022/23 is revised down on slower demand from the food sector. Reduced use of soybean meal in 2022/23 is driven by weak feed mill performance, mainly on higher production costs.

Commodity: Oil, Palm

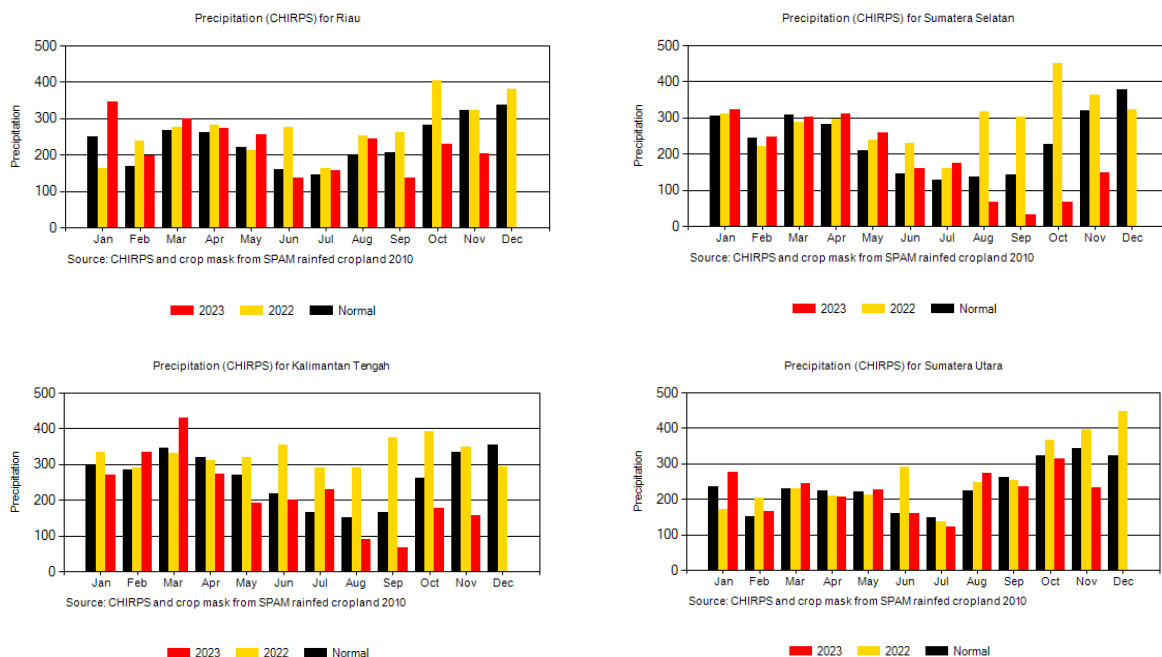
Production

The Indonesian local weather agency ([BMKG](#)) projected moderate-level El Nino weather patterns will continue into February 2024. However, as of early November 2023, 20 percent of Indonesia area is expected to experience the onset of the rainy season, including Northern Sumatera, Riau, Southern Sumatera, and most of West Sumatera. The BMKG predicts that the rainy season onset will gradually phase out the impact of the prolonged drought triggered by El Nino.

The El Nino event changed rainfall patterns and increased temperatures in several regions including palm oil producing areas. [In 2015](#), prolonged dryness linked to El-Nino caused water stress in palm trees and lowered yield a year later. Based on precipitation data, several oil palm producing areas suffered below-normal precipitation from June to November 2023. Riau and Central Kalimantan, the largest palm oil production areas, experienced below-normal precipitation for four consecutive months during that period.

Considering the above-mentioned factors, Post revised down palm oil production forecasts slightly to 45.8 million metric tons (MMT) for 2023/24.

Figure 1. Precipitation in Palm Oil Producing Areas 2022-2023



Source: [Crop Explorer](#), FAS/USDA

Consumption

Estimates for Indonesia palm oil use for the industrial sector is revised down to 11.6 MMT for 2022/23 on slower-than-expected utilization from the biodiesel industry. According to the Indonesian biodiesel producer association (APROBI), biodiesel distribution reached 8.8 billion liters from January to September 2023, equal to 67 percent of the Government of Indonesia's (GOI) total allocation for 2023 (see [ID2023-0018](#)). Post expects biodiesel demand to continue to

drive 2023/24 palm oil industrial use to 12.4 MMT on the expected growth of diesel use in the transportation sector and the GOI policy to maintain a 35 percent blending rate.

Combined with the forecasted food sector utilization of 6.9 MMT, Post's forecasts palm oil domestic consumption to rise 5 percent to 19.6 MMT for 2023/24. Based on several forecasts¹ that Indonesia's economy will grow modestly in 2024, Post expects palm oil demand to continue to rise for both the food processing industry and households, mainly for cooking oil use.

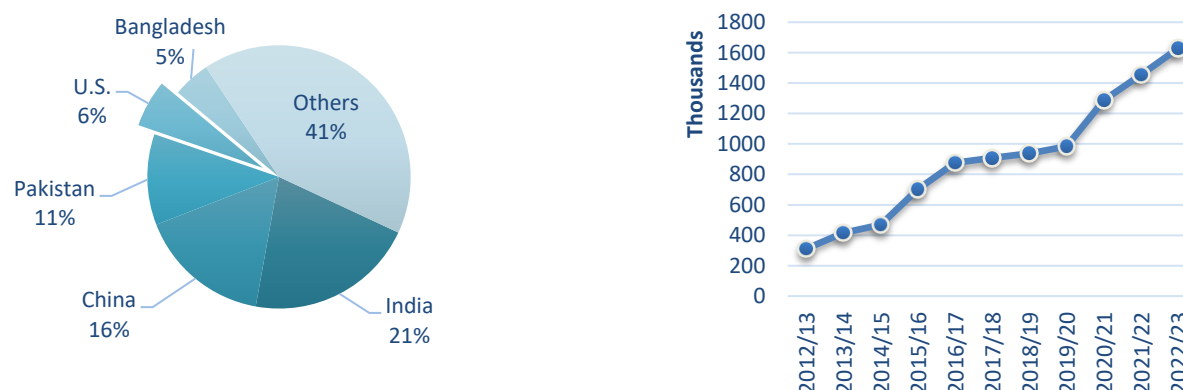
Trade

Based on final trade data, Indonesia's 2022/23 palm oil exports reached over 28 MMT, a significant 26 percent increase from the low point of 22.3 MMT for 2021/22. Combined higher demand from India, China, and Pakistan boosted Indonesia palm oil exports an additional 4.7 MMT in 2022/23, thanks to a 33 percent reduction in price in 2022/23 from the previous marketing year. Palm oil shipments to the U.S. reached 1.6 MMT in 2022/23, at a pace of 16 percent annual growth since 2017.

People's Republic of China (PRC) demand for palm oil in 2023/24 is expected to remain steady due to increased domestic vegetable oil supplies linked to higher oilseeds crushing (see [CH2023-0152](#)). Palm oil use in PRC's food sector is mostly driven by instant noodle production, household use, and the food service industry. In India, palm oil imports are forecast to rise for 2023/24 (see [IN2023-0062](#)) on the competitive price of palm oil relative to other edible oils.

Post maintains Indonesia palm oil exports at 28 MMT on expected lower supply and higher domestic use in 2023/24.

Figure 2. Indonesia: 2022/23 Palm Oil Exports by Destination, and Palm Oil Exports to the United States, 2012-2023 (MT)



Source: Trade Data Monitor

¹ See Indonesia 2024 economy forecasts from [ADB](#) (September 2023) and [EIU](#) (November 2023).

Table 1. Production, Supply, and Distribution (PSD) for Palm Oil, 2021/22-2023/24

Oil, Palm	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct-21		Oct-22		Oct-23	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	12,500	14,900	13,500	14,800	13,800	14,500
Beginning Stocks	5,055	5,055	7,304	7,304	6,137	5,217
Production	42,000	42,000	46,000	44,700	47,000	45,800
MY Imports	-	-		-		-
Total Supply	47,055	47,055	53,304	52,004	53,137	51,017
MY Exports	22,321	22,321	28,077	28,077	28,300	28,000
Industrial Dom. Cons.	10,500	10,500	11,900	11,600	12,850	12,400
Food Use Dom. Cons.	6,650	6,650	6,900	6,800	7,200	6,900
Feed Waste Dom. Cons.	280	280	290	310	300	320
Total Dom. Cons.	17,430	17,430	19,090	18,710	20,350	19,620
Ending Stocks	7,304	7,304	6,137	5,217	4,487	3,397
Total Distribution	47,055	47,055	53,304	52,004	53,137	51,017
	0	0	0	0	0	0
(1000 HA) ,(1000 TREES) ,(1000 MT)						

Source: FAS Jakarta Estimates

Commodity: Oilseed, soy

Production

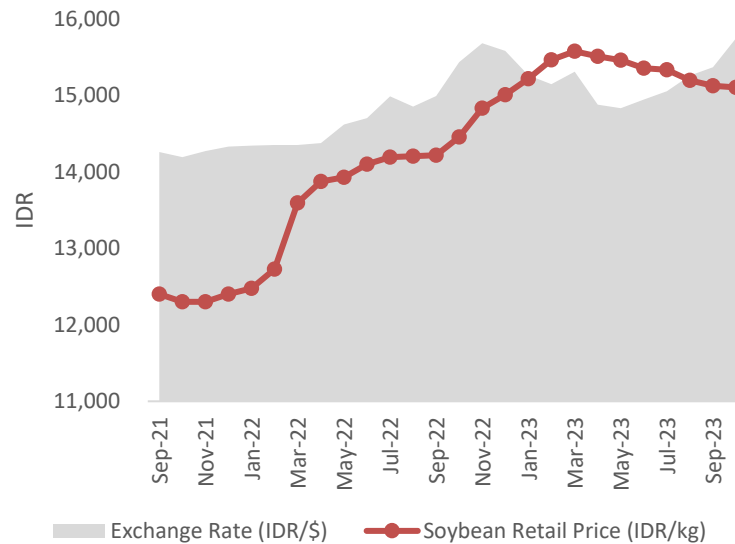
Post maintains its 2023/24 soybean production forecast at 375,000 MT, down from 390,000 MT in 2022/23 on smaller harvested areas. Farmers' preferences for more lucrative crops such as paddy and corn continue to marginalize soybean farming. In limited areas, farmers maintain soy crops for rotational purposes, covering only a fraction of the demand of the local tofu industry.

Consumption

Indonesia 2022/23 soybean consumption in the food sector is revised down to 2.55 MMT on weak demand from the food processing sector and household consumption. Soybean retail prices continue to increase from 2021, peaking in March 2023 at IDR 15,574 (\$ 1) per kg before decreasing to IDR 15,103 (\$ 0.97) per kg in October 2023, 5 percent higher than a year before. U.S. soybean is mainly used for tempeh and tofu production in Indonesia. Considered as an affordable protein source over poultry meat and egg, tempeh and tofu are consumed by most Indonesians in Java and Sumatera on a daily basis.

Post forecasts soybean consumption will recover to 2.74 MMT in 2023/24 based on population growth and expected modest economic growth in 2024.

Figure 3. Indonesia: Soybean Price and Exchange Rates, 2021-23

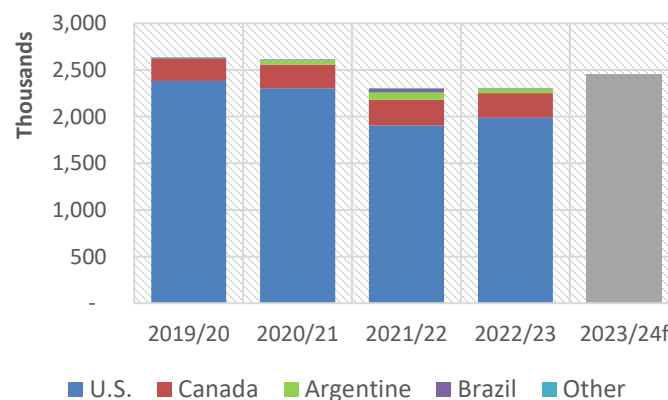


Source: Ministry of Trade, Bank of Indonesia

Trade

Post forecasts 2023/34 soybean imports at 2.45 MMT on recovered demand from tofu and tempeh producers as consumer purchases improve. Indonesia's 2022/23 soybean imports are estimated at 2.3 MMT based on final trade data. The United States is expected to remain Indonesia's main soybean supplier in 2023/24 on consistent supplies and the preference most tempeh producers have for U.S. soybean technical specifications. In 2022/23, U.S. soybeans accounted for 86 percent of total imports, 3 percent higher than in 2021/22.

Table 2. Indonesia: Soybean Imports by Origin (MT)



Source: Trade Data Monitor

Table 3. Production, Supply, and Distribution (PSD) for Soybean, 2021/22-2023/24

Oilseed, Soybean	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct-21		Oct-22		Oct-23	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	350	350	330	330	320	320
Beginning Stocks	146	146	94	94	100	110
Production	425	425	390	390	375	375
MY Imports	2,307	2,307	2,308	2,308	2,550	2,450
Total Supply	2,878	2,878	2,792	2,792	3,025	2,935
MY Exports	12	12	2	2	2	3
Crush	0	0	0	0	0	0
Food Use Dom. Cons.	2,647	2,647	2,540	2,550	2,750	2,600
Feed Waste Dom. Cons.	125	125	150	130	150	135
Total Dom. Cons.	2,772	2,772	2,690	2,680	2,900	2,735
Ending Stocks	94	94	100	110	123	197
Total Distribution	2,878	2,878	2,792	2,792	3,025	2,935
	0	0	0	0	0	0
(1000 HA) ,(1000 MT)						

Source: FAS Jakarta Estimates

Commodity: Meal, soy

Production

Indonesia does not produce soybean meal.

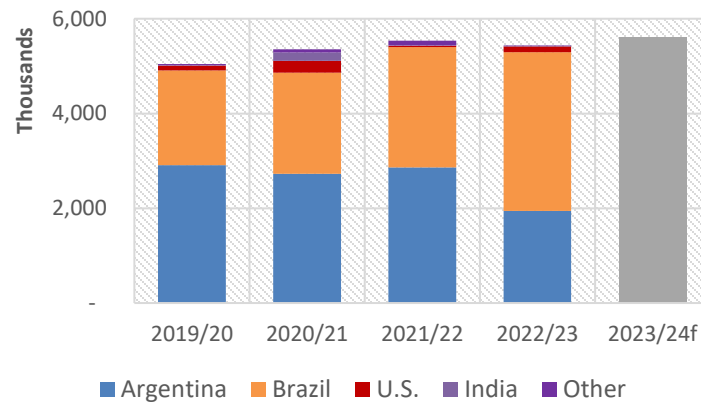
Consumption

Soybean meal consumption is forecast at 5.6 MMT for 2023/24, an increase of 50,000 MT from 2022/23 on expected slightly increased demand from the feed industry. Post revised 2022/23 soybean meal consumption to 5.55 MMT on lower-than-expected feed millers' performance due to rising feed production costs and weak consumer purchasing power.

Trade

Indonesia soybean meal imports are projected to rise slightly to 5.6 MMT in 2023/24 on continued demand from feed millers. Post revises down 2022/23 soybean meal imports to 5.4 MMT based on final trade data. Brazil shipped 3.3 MMT of soybean meal to Indonesia in 2022/23, outpacing Argentina supplies which were reduced to almost 920,000 MT due to drought-related issues. U.S. soybean meal shipments increased to 116,000 MT in 2022/23 but still below 2020/21 levels.

Figure 4. Indonesia: Soybean Meal Imports by Origin (MT)



Source: Trade Data Monitor

Table 4. Production, Supply, and Distribution (PSD) for Soybean Meal, 2021/22-2023/24

Meal, Soybean Market Begin Year	2021/2022		2022/2023		2023/2024	
	Oct-21		Oct-22		Oct-23	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	-	-	-	-	-	-
Extr. Rate, 999.9999	-	-	-	-	-	-
Beginning Stocks	421	421	397	397	251	281
Production	-	-	-	-	-	-
MY Imports	5,535	5,535	5,434	5,434	5,700	5,600
Total Supply	5,956	5,956	5,831	5,831	5,951	5,881
MY Exports	9	9	-	-	-	-
Industrial Dom. Cons.	-	-	-	-	-	-
Food Use Dom. Cons.	-	-	-	-	-	-
Feed Waste Dom. Cons.	5,550	5,550	5,580	5,550	5,625	5,600
Total Dom. Cons.	5,550	5,550	5,580	5,550	5,625	5,600
Ending Stocks	397	397	251	281	326	281
Total Distribution	5,956	5,956	5,831	5,831	5,951	5,881
	-	-	-	-	-	-
(1000 MT) ,(PERCENT)						

Source: FAS Jakarta Estimates

Attachments:

No Attachments